The National · The Private Banker · ABC News · 9 Nov 2026
HSC Economics news explainer · 10 November 2026

Oil has its steepest weekly fall since COVID

Brent crude fell about 16–17% in the week to Friday 6 November, its biggest weekly drop since the pandemic began. It kept falling on Monday on hopes that a deal will reopen the **Strait of Hormuz**, the world's most important oil shipping route.

WHAT HAPPENED

- Brent closed Friday at **US$98.32** a barrel and fell almost 5% on Monday to about **US$93**. US benchmark (WTI) crude fell to about US$88.
- Trump told CNN another US war with Iran was **"highly unlikely"** while talks on Iran's nuclear program and on reopening Hormuz keep moving.
- Reported terms of a Qatar-brokered deal, **not confirmed** by either government: Iran reopens the strait and stops tanker attacks, and the US lifts its blockade and releases about US$8b of Iranian funds frozen in Qatar.
- Risks remain: Secretary of State Rubio played down any breakthrough, and Iran's Revolutionary Guard said three tankers caught fire in the strait on Sunday.
- JPMorgan estimates the global oil surplus widened from 1.1 to **1.4 million barrels a day** between September and October.

−16%
Brent crude, week to Fri 6 Nov (some reports say −17%)

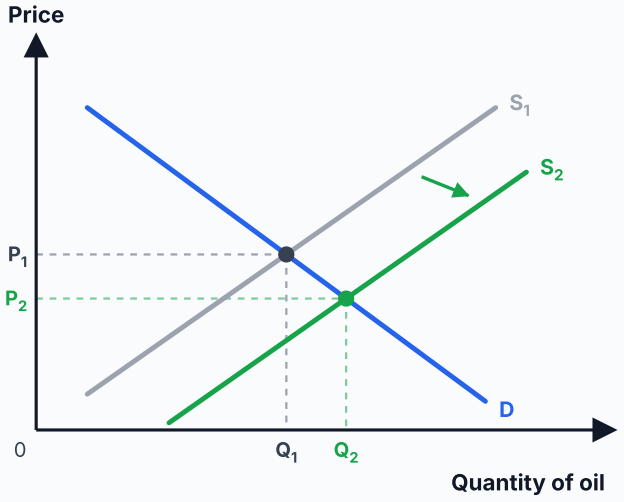
~US$93
Brent on Mon 9 Nov, down from US$98.32

~20%
of global oil and LNG shipments passed through Hormuz before the war began on 28 Feb

Supply shock: an unexpected change in supply that shifts the supply curve
Cost-push inflation: inflation caused by rising input costs such as fuel

DIAGRAM

Reopening Hormuz would increase world oil supply



If the strait reopens, more oil reaches world markets and supply shifts from S_1 to S_2.

The world price falls from P_1 to P_2 and the quantity traded rises from Q_1 to Q_2. Prices are already falling because markets *expect* this shift.

Exam angle: short-run demand for oil is price-inelastic, so even a modest change in supply causes large price swings. That helps explain why oil prices fell 16% in one week.

FLOW CHART

How a lower oil price reaches Australian households

Hormuz reopens → World oil supply rises → Petrol and freight costs fall → Headline CPI eases → **Less pressure for RBA rate rises**

SYLLABUS LINK

Topic 1: global economic shocks and commodity markets. **Topic 3:** inflation, especially cost-push inflation.

TRY THIS (4 MARKS)

Using a demand and supply diagram, explain how reopening the Strait of Hormuz would affect the world price of oil, and outline **one** effect on Australia's inflation rate.

Read more: The National, 9 Nov · The Private Banker, 9 Nov · ABC News markets blog, 9 Nov

Diagrams are illustrative, not to scale